

How to Use Your Portfolio Valuation Model

SKU STR-002 • PORTFOLIO VALUATION MODEL

What this workbook does

Computes the current market value of your STR portfolio using 3 methods: cap rate $\times$ NOI, comparable-sales (per BR/BA), and gross rent multiplier. Surfaces total equity, debt-to-value ratio, and "what would a buyer pay" estimate. The workbook you run annually OR before any refi/sale conversation.

First-time setup (20 min)

1. Open tab **Property Roster** — every property with: purchase price, basis, current debt balance.
2. Tab **NOI Inputs** — stabilized year-1 NOI per property (pull from TAX-002 P&L Tracker).
3. Tab **Cap Rate Method** — cap rate per market (varies 5-10% typical for STR). Use AirDNA or Mashvisor market data.
4. Tab **Comparable Sales** — recent comps (last 12 months) by BR/BA in your market. \$/sqft or \$/bed.
5. Tab **GRM Method** — gross rent multiplier per market (typical STR: 8-15 $\times$ annual gross rent).

Reading the outputs

- **Three-Method Compare:** cap rate, comp sales, GRM — three independent estimates per property
- **Mid-Point Valuation:** average of the three (most defensible)
- **Conservative Valuation:** the lowest of the three (use this for refi LTV math)
- **Total Portfolio Equity:** sum of (mid-point value – current debt) per property
- **Debt-to-Value Ratio:** portfolio-wide leverage. Target: <70% for healthy refi optionality.

When to run

- **Annually** in January as part of year-end review (FIN-005 YoY pairs well)
- **Before any refi** to know what cash-out potential exists
- **Before any sale conversation** to know if it's the right time
- **When the market shifts** (rate cut, new STR regulation, unexpected demand spike)

Common surprises

- **Debt-to-value < 50%** → significant equity locked up. Refi to recycle capital into next acquisition.
- **Debt-to-value > 80%** → over-leveraged, vulnerable to market softening. Consider selling weakest property.
- **Single property valued above the rest by 30%+** → may be your "winner" worth concentrating on; or may be ready to sell + 1031 into multiple smaller properties

Buyer's perspective price

The Buyer's Price tab shows what a sophisticated STR buyer (not a retail homebuyer) would actually pay:

- Cap rate $\times$ NOI is most-relevant for buyers at scale
- Adjustments for: deferred maintenance, depreciable assets, transferable bookings, brand/reviews
- A retail homebuyer might pay 10-20% more (emotional purchase); an investor pays cap rate $\times$ NOI

Questions?

hello@thestrledger.com — real humans, fast replies.

Pair with: STR-003 Refi-or-Sell Decision Matrix (uses this valuation as input), FIN-004 DSCR Tracker (refi-eligibility based on this value $\times$ LTV), TAX-002 P&L Tracker (NOI source data), FIN-005 YoY Comparison (annual context).